GLOUCESTER
ZAKAT FUND
CHARITY FOR LOCAL RESIDENTS

CONFLICT OF INTEREST POLICY

Document Information	
Policy Name	Conflict of Interest Policy
Version	1.0
Policy Owner	Board of Trustees
Approved by	Board of Trustees
Date Approved	01/02/2026
Next Review Date	01/02/2028
Related Policies	Anti-Bribery Policy, Trustee Code of Conduct, Due Diligence Policy, Internal Financial Controls Policy

1. Introduction and Purpose

1.1 Introduction

Gloucester Zakat Charity ("the Charity") is a Charitable Incorporated Organisation committed to the highest standards of governance and integrity. As stewards of Zakat (obligatory Islamic almsgiving) and Sadaqah (voluntary charity), trustees have a sacred duty to ensure that all decisions are made solely in the best interests of the Charity and its beneficiaries.

Conflicts of interest can arise in any organisation. What matters is not that conflicts occur, but how they are identified and managed. This policy sets out how the Charity will identify, declare, manage, and record conflicts of interest to maintain public trust and comply with charity law.

1.2 Purpose

The purpose of this Conflict of Interest Policy is to:

- Ensure decisions are made solely in the Charity's best interests
- Protect the Charity and individual trustees from allegations of impropriety
- Maintain public confidence in the Charity's governance
- Comply with the requirements of charity law and the Charity's constitution
- Provide clear procedures for identifying, declaring, and managing conflicts
- Ensure transparency and accountability in decision-making

1.3 Legal Framework

Trustees have legal duties under the Charities Act 2011 and at common law to:

- Act in the Charity's best interests
- Manage the Charity's resources responsibly
- Act with reasonable care and skill
- Ensure the Charity is accountable
- Avoid conflicts of interest and not benefit personally from their position (unless authorised)

The Charity's constitution (CIO Foundation model) contains provisions for managing conflicts of interest, and this policy should be read alongside those provisions.

2. Scope

2.1 Who This Policy Applies To

This policy applies to:

- All trustees of the Charity
- Any person acting on behalf of the trustees
- Volunteers in positions of responsibility or influence
- Members of any sub-committees or working groups

Although this policy primarily concerns trustees, all volunteers should be aware of it and declare any interests that could affect their role.

2.2 What This Policy Covers

This policy covers all situations where personal interests, or the interests of connected persons, could conflict with the trustee's duty to act in the Charity's best interests. This includes interests relating to:

- Financial matters (contracts, payments, grants, procurement)
- Relationships with partner organisations
- Grant decisions affecting connected persons
- Employment or engagement of connected persons
- Any other matter where a trustee's judgment could be influenced

3. Definitions

3.1 What is a Conflict of Interest?

A conflict of interest is any situation in which a trustee's personal interests, or the interests of a connected person, could (or could appear to) influence their judgment or decision-making in their role as a trustee.

Conflicts can be:

Actual: A direct conflict exists between the trustee's interests and those of the Charity.

Potential: A conflict could arise depending on how circumstances develop.

Perceived: A reasonable person might perceive a conflict even if none actually exists.

All three types must be declared and managed appropriately.

3.2 Types of Conflict

Conflicts generally fall into two categories:

Financial Conflicts (Beneficial Interests)

These arise when a trustee, or a connected person, could receive money or something of financial value from a Charity decision. Examples include:

- A contract being awarded to a company owned by a trustee's family member
- A trustee being paid for services provided to the Charity
- A trustee's business receiving payment from the Charity
- Property transactions involving a trustee

Loyalty Conflicts (Non-Financial Interests)

These arise when other factors could affect a trustee's ability to make impartial decisions. Examples include:

- A trustee who is also a trustee or employee of a partner organisation
- A grant application from an organisation where a trustee has a close relationship
- A trustee with a close personal relationship with a beneficiary
- Competing duties to another organisation

3.3 Connected Persons

A 'connected person' includes:

Family members:

- Spouse, civil partner, or unmarried partner
- Children (including step-children) and their spouses/partners
- Parents and grandparents
- Brothers and sisters (including half-siblings) and their spouses/partners
- Grandchildren and their spouses/partners

Business and professional connections:

- Business partners
- Companies or organisations controlled by the trustee or their family
- Employers and employees
- Co-trustees of another trust or charity

Close personal relationships:

- Close friends
- Persons with whom the trustee has a significant personal relationship

3.4 What is Not a Conflict of Interest

The following are generally not conflicts of interest:

- Reimbursement of legitimate expenses incurred on Charity business
- Shared membership of the same mosque, community, or religious group (unless specific decisions affecting that entity arise)
- General interest as a member of the public

4. Examples of Conflicts Relevant to This Charity

The following examples illustrate situations that could give rise to conflicts of interest for Gloucester Zakat Charity:

Scenario	Type of Conflict
A grant application is received from a family member of a trustee	Financial – the trustee's family could benefit
A trustee is also a trustee of GARAS and the Charity is considering a partnership with GARAS	Loyalty – competing duties to both organisations
The Charity needs accounting services and a trustee's spouse is an accountant	Financial – the trustee's family could benefit
A trustee is a committee member at a mosque that has applied for Zakat distribution partnership	Loyalty – competing duties to mosque and Charity
A trustee personally knows an individual applying for emergency hardship support	Loyalty – personal relationship may affect judgment
A trustee's business is asked to print Charity materials	Financial – the trustee could benefit directly

5. Register of Interests

5.1 Purpose of the Register

The Charity maintains a Register of Interests to record the relevant interests of all trustees. This helps to identify potential conflicts in advance and demonstrates transparency in governance.

5.2 What Must Be Registered

Each trustee must register the following interests (where applicable):

- Current employment, trade, profession, or business
- Directorships, trusteeships, or management roles in other organisations
- Membership of professional bodies, public bodies, or voluntary organisations
- Significant shareholdings (over 5%) in any company
- Any contracts or agreements with the Charity

- Interests of connected persons (as defined in Section 3.3) that may be relevant
- Any other interest that could give rise to a conflict

5.3 When to Register

Trustees must declare their interests:

- On appointment – by completing a Declaration of Interests form
- Annually – at the first Board meeting of each financial year
- When circumstances change – as soon as a new interest arises

5.4 Management of the Register

The Register of Interests will be:

- Maintained by the Chair of Trustees (or a designated trustee)
- Available for inspection by any trustee
- Reviewed annually at a Board meeting
- Kept confidential (not published) but made available to the Charity Commission if requested

6. Declaration of Conflicts

6.1 Duty to Declare

Trustees have a personal responsibility to declare any conflict of interest (actual, potential, or perceived) at the earliest opportunity. If in doubt, declare.

6.2 When to Declare

Conflicts must be declared:

- At the start of any meeting where a relevant matter is on the agenda
- As soon as a trustee becomes aware of a conflict during a meeting
- In advance of a meeting (by notifying the Chair) if the trustee is aware of the conflict beforehand
- Before any discussion or decision in which the trustee has a conflict

6.3 What to Declare

The declaration should include:

- The nature of the interest
- How it relates to the matter being discussed
- The extent of the interest (e.g., financial value, nature of relationship)
- Whether the interest is direct or indirect

6.4 Declaration at Meetings

Conflicts of Interest is a standing item at the start of every Board meeting agenda. The Chair will:

- Remind trustees of their duty to declare any interests
- Ask if any trustee has an interest in any item on the agenda
- Record all declarations in the minutes

7. Managing Conflicts of Interest

7.1 General Principles

Once a conflict is declared, the Board must decide how to manage it. The overriding principle is that decisions must be made in the Charity's best interests, free from any actual or perceived influence from conflicted trustees.

7.2 Options for Managing Conflicts

Depending on the nature and severity of the conflict, the Board may:

1. Withdraw from discussion and decision: The conflicted trustee leaves the room while the matter is discussed and voted on. This is the default approach for most conflicts.

2. Withdraw from decision only: The conflicted trustee may provide factual information to assist discussion but withdraws before the decision is made. This may be appropriate where the trustee has relevant expertise.

3. Remain but not vote: The conflicted trustee remains in the meeting but does not vote. This is appropriate only for minor conflicts.

4. No action required: The Board determines that the interest is so minor or remote that no management action is needed. This must be recorded in the minutes with reasons.

7.3 Serious Conflicts

For serious conflicts, the Board may need to consider:

- Not pursuing the particular transaction or arrangement
- Proceeding in a different way that avoids the conflict
- In extreme cases, asking the conflicted trustee to resign

7.4 Quorum

If a trustee withdraws from a decision due to a conflict, the remaining trustees must still form a quorum for the decision to be valid. The Charity's constitution requires a quorum of two trustees. If the conflict affects multiple trustees such that a quorum cannot be achieved, the matter must be deferred until a quorum of non-conflicted trustees can be assembled.

8. Conflicts in Grant-Making Decisions

Grant-making is a core activity of the Charity and presents particular risks of conflict. The following additional procedures apply:

8.1 Applications from Connected Persons

If a grant application is received from a connected person of any trustee:

- The conflicted trustee must declare the interest immediately
- The conflicted trustee must withdraw from all discussion and decision
- The application must be assessed on the same criteria as any other
- The decision and reasons must be fully documented
- Consider whether an independent assessment is appropriate

8.2 Applications Known Personally to Trustees

If a trustee personally knows the applicant (but they are not a connected person):

- The trustee should declare this relationship
- The Board will decide whether the trustee should withdraw or may participate
- The relationship and the Board's decision must be recorded

8.3 Trustees Cannot Benefit from Grants

Trustees (and their connected persons) are not eligible to receive grants from the Charity unless:

- The constitution explicitly permits it
- The Charity Commission has authorised it
- All requirements for managing the conflict are followed

As a general rule, the Charity will not make grants to trustees or their connected persons.

9. Trustee Benefits and Payments

9.1 General Principle

Trustees serve voluntarily and are not entitled to payment for their role as trustees. The Charity's constitution reflects the model CIO Foundation provisions on trustee benefits.

9.2 Permitted Benefits

Trustees may receive:

- Reimbursement of reasonable expenses incurred on Charity business (in accordance with the Expenses Policy)
- Indemnity insurance and other protections permitted by the constitution

9.3 Payment for Services

In limited circumstances, a trustee (or connected person) may be paid for services provided to the Charity, separate from their trustee duties. This is only permissible if:

- The constitution permits it
- The Board believes it is in the Charity's best interests
- The amount is reasonable
- The conflicted trustee is not involved in the decision
- The Board has satisfied itself that this is the best use of resources
- The arrangement is properly documented

9.4 Questions to Consider

Before approving any payment to a trustee or connected person, the remaining trustees should ask:

- Is this the best use of the Charity's limited resources?
- Could anyone else provide this service?
- In terms of cost, quality, and availability, who would be the best provider?
- Would a reasonable person consider this appropriate?
- How would this look if reported in the media?

10. Recording Conflicts

10.1 Minutes of Meetings

All conflicts of interest must be recorded in the minutes of the relevant meeting. The minutes should include:

- The name of the trustee declaring the interest
- The nature and extent of the interest
- The matter to which the conflict relates
- How the conflict was managed (e.g., trustee withdrew from discussion)
- The decision made and the reasons for it
- Who participated in the decision

10.2 Annual Accounts

In accordance with charity accounting requirements (SORP), the Charity must disclose in its annual accounts:

- Any trustee benefits received
- Related party transactions
- Expenses paid to trustees

11. Breach of This Policy

If a trustee fails to declare a conflict of interest, the Board will:

- Consider whether the trustee should be asked to resign
- Consider whether any decision made should be revisited
- Consider whether the breach should be reported to the Charity Commission
- Review whether any action is needed to prevent similar breaches

Failure to declare a conflict of interest is a serious matter that could expose the trustee to personal liability and damage the Charity's reputation.

12. Roles and Responsibilities

12.1 Board of Trustees

- Approving and reviewing this policy
- Ensuring the Register of Interests is maintained
- Making decisions on how to manage declared conflicts
- Ensuring conflicts are properly recorded

12.2 Chair of Trustees

- Reminding trustees of their duty to declare interests at each meeting
- Leading the discussion on how to manage conflicts
- Maintaining the Register of Interests
- Ensuring this policy is followed

12.3 Individual Trustees

- Declaring all relevant interests on appointment and annually
- Declaring conflicts as they arise
- Withdrawing from discussions and decisions where conflicted
- Acting in the Charity's best interests at all times

13. Annual Review

At the first Board meeting of each financial year:

- Each trustee will review and update their Declaration of Interests
- The Register of Interests will be reviewed
- This policy will be considered for any necessary updates
- The Board will reflect on how conflicts have been managed during the year

14. Related Policies and Documents

This policy should be read in conjunction with:

- The Charity's Constitution (CIO Foundation model)
- Anti-Bribery Policy
- Trustee Code of Conduct
- Expenses Policy
- Due Diligence Policy
- Internal Financial Controls Policy

Charity Commission Guidance:

- Conflicts of interest: a guide for charity trustees (CC29)
- Payments to charity trustees – what the rules are
- Selling, leasing or transferring assets to someone connected with your charity
- Automatic disqualification rules for charity trustees

15. Review

This policy will be reviewed by the Board of Trustees every two years, or sooner if:

- There are changes to the Charity's constitution
- There are changes to charity law or Charity Commission guidance
- A significant conflict of interest situation highlights gaps in the policy
- The Board identifies a need for changes

16. Approval and Version History

Version	Date	Approved By	Changes
1.0	01/02/2026	Board of Trustees	Initial policy

17. Trustee Declaration

We, the undersigned trustees of Gloucester Zakat Charity, confirm that we have read, understood, and approved this Conflict of Interest Policy and commit to its implementation.

Name	Role	Signature	Date
Mr Abdullah Abdul Samad Patel	Chair	A. Patel	01/02/2026
Mr Kamel Boulkenafet	Trustee	K. Boulkenafet	01/02/2026
Mr Hashim Moolla	Trustee	H. Moolla	01/02/2026
Mr Farouq Ginwalla	Trustee	F. Ginwalla	01/02/2026
Ms Mariam Qureshi	Trustee	M. Qureshi	01/02/2026

APPENDIX: Declaration of Interests Form

To be completed by each trustee on appointment and reviewed annually.

Trustee Name:	
Date:	

Please declare any interests that could give rise to a conflict:

1. Employment, business interests, directorships:
2. Trusteeships or roles in other charities/organisations:
3. Interests of connected persons (family, business partners):
4. Any other interests that could give rise to a conflict:

I confirm that, to the best of my knowledge, the above is a complete and accurate declaration of my interests. I undertake to update this declaration as my circumstances change.

Signed: _____ Date: _____

— End of Policy —